



REPUBLIC OF THE PHILIPPINES
COMMISSION ON AUDIT
Commonwealth Avenue, Quezon City

**LOCAL GOVERNMENT AUDIT SECTION
NATIONAL CAPITAL REGION**

OFFICE OF THE SECRETARY TO THE MAYOR	
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BY: <u>RAQUIL</u>	DATE: <u>6-11-2025</u>
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June 10, 2025

Honorable MARIA SHEILAH H. LACUNA-PANGAN, MD. FPDS
City Mayor
Manila City

COMMISSION ON AUDIT NCR LGS	
RECEIVED	
BY: <u>Lacuna-Pangan</u>	DATE: <u>6/11/25</u>

Dear Honorable Mayor Lacuna-Pangan:

We are pleased to transmit the Annual Audit Report on ~~the City of Manila for Calendar~~ Year 2024, pursuant to Section 2, Article IX-D of the Philippine Constitution and Section 43 of Presidential Decree (PD) No. 1445, otherwise known as the Government Auditing Code of the Philippines.

The report consists of the Independent Auditor's Report, Audited Financial Statements, Observations and Recommendations, and the Status of Implementation of Prior Years' Audit Recommendations.

The Auditor rendered a Qualified Opinion on the fairness of the presentation of the City's financial statements in view of the significance of the exceptions noted in the audit as stated in the Independent Auditor's Report.

The significant observations and recommendations that need immediate action are as follows:

1. The accuracy, existence and completeness of various receivables accounts as of December 31, 2024, cannot be ascertained due to the following: (a) Receivables totaling P276.143 million were recorded in total amount without Subsidiary Ledger (SL) details or supporting documentation to substantiate the composition of the balances; (b) Unsupported balances of Inter-Agency Receivables amounting to P23.682 million; (c) Misclassified tax credits amounting to P510.615 million in the Other Receivables - Others account and unrecorded Other Receivables amounting to P770.569 million; and (d) Unreconciled balance of P9.309 million due to non-recording of cleared dishonored checks under the Other Receivables - Dishonored Checks account. These are contrary to Paragraph 27 of the IPSAS 1; Sections 111 and 112 of PD No. 1445; and Items 6.1 and 6.2 of COA Circular No. 2016-005, dated December 19, 2016.

Office of Manila City Council
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We recommended that Management require:

- a. The Office of the City Accountant (OCAT) to:
 - Maintain SLs for all receivable accounts to ensure that detailed records support the bulk amounts reflected in the financial statements.
 - Immediately coordinate and reconcile with the concerned National Government Agencies and Government Owned and Controlled Corporations to confirm the unconfirmed balances and establish the correct amount for the affected accounts.
 - Prepare adjusting entries to correct misstatements identified upon thorough evaluation of the transactions;
 - Conduct a regular review and reconciliation of receivables, including monthly or quarterly reporting, to ensure the accuracy of balances in the financial statements; and
 - Coordinate and reconcile with the Patrimonial Unit of the City General Services Office's (CGSO) to establish the correct balances for the leased properties of the City.
 - b. The Manila Urban Settlements Office (MUSO) to:
 - Submit a complete and up-to-date schedule of receivables, including collections and ageing reports pertaining to the Land for the Landless program, to OCAT on a timely basis.
2. The reliability and accuracy of the Construction in Progress (CIP) account balance totaling P4.086 billion cannot be ascertained due to: (a) Non-reconciliation of the OCAT records and the CGSO Report on the Physical Count of Property, Plant and Equipment (RPCPPE) of the CIP, with discrepancies amounting to P6.532 billion due to: (1) Projects appearing in the RPCPPE of CIP but were not recorded in the books, amounting to P0.106 billion; (2) Projects that have been completed but remain recorded under CIP and have not yet been reclassified to their corresponding asset accounts amounting to P2.097 billion; (3) The CIP account is credited for completed projects. However, the corresponding debit entry to initially recognize the project was not recorded, amounting to P0.241 billion; and (4) Double recording of transactions amounting to P0.178 billion; and (b) Non-maintenance of the CIP Ledger Card (CIPLC) for each project by the OCAT. These practices are not in accordance with Paragraph 27 of the IPSAS 1, Section 16 of Chapter 1 of the Manual of the New Government Accounting System (MNGAS) for Local Government Units (LGUs), Volume II, and Section 111 of PD No.1445. Thus, the fairness of the CIP account balance could not be established.

We recommended that Management direct the OCAT to:

- a. Analyze the CIP account and make appropriate adjustments to attain its fair presentation;
- b. Regularly coordinate with CGSO and other implementing offices to timely recognize the completion of projects and consider the formulation of guidelines that will address issues such as delayed processing of final billings by contractors to facilitate the timely and proper accounting treatment of CIP transactions; and
- c. To prepare and maintain the required CIPLC.

The audit observations together with the recommended courses of action, which were discussed with the concerned Management officials and staff during the Exit Conference conducted on May 30, 2025, are presented in detail in Part II of the Report.

We request that the recommendations contained in Parts II and III of the Report be immediately implemented and we will appreciate being informed of the action taken thereon within 60 days from receipt hereof pursuant to Section 99 of the General Provisions of the General Appropriations Act of Fiscal Year 2023 (Republic Act No. 11936), using the Agency Action Plan and Status of Implementation Form to be submitted to the Audit Team.

We acknowledge the support and cooperation that you and your staff extended to the Audit Team, thus, facilitating the submission of this report.

Very truly yours,

COMMISSION ON AUDIT

By:

ATTY. MARIA CARMINA PAULITA B. JUGUILON PAGAYAWAN
Director IV

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